- **Terms of Trade:** The rate at which goods of one country are exchanged for that of another country ie ratio of export price and import price.
- **Balance of Trade:** The balance between the values of goods exchanged between two countries. It is a trade in merchandise items or visible items only.
- **Balance of Payments:** The balance between the values of goods and services exchanged between two countries. It is a trade in both visible and non-visible items.
- **Devaluation:** It means official reduction in the value of a currency in terms of gold or other currencies.
- **Foreign Exchange:** The currency of another country.
- **Exchange Rate:** The rate at which one currency is exchanged for another currency.
- **Fixed Exchange Rates:** An exchange rate that is held within a narrow band by the monetary authorities..
- **Flexible Exchange Rates:** Flexible exchange rates are freely determined in an open market primarily by private dealings, and they, like other market prices, vary from day by day.
- **Foreign Direct Investment:** The investment made by a multinational enterprise in a foreign country and an investment in a foreign country that involves some degree of control and participation in management.

12-Economics-Chapter_7.indd 148 2/6/2020 12:24:03 PM